

COURSE TITLE : FINANCIAL MANAGEMENT
COURSE CODE : 4252
SEMESTER : 4
COURSE CATEGORY : B
PERIODS/WEEK : 3+2
PERIODS/SEMESTER : 75
CREDITS : 4

TIME SCHEDULE

MODULE	TOPICS	PERIODS
1	NATURE OF FINANCIAL MANAGEMENT, SOURCES OF FINANCIAL INFORMATION, PLANNING & CONTROL	20
2	SOURCES OF FUNDS, AND APPLICATIONS OF FUNDS	20
3	CAPITALISATION, CAPITAL INVESTMENT DECISIONS & MANAGEMENT OF WORKING CAPITAL	15
4	TECHNIQUES OF FINANCIAL ANALYSIS	20

Course General Outcomes:

Sl.	G.O	On completion of this course the student will be able :
1	1	To Understand the concept of Finance
	2	To know financial planning and control
2	1	To understand the sources of funds for financial requirements
3	1	To Understand the concept of capitalisation
	2	To know about the process and importance of capital investment decisions
4	1	To Understand the techniques of financial analysis
	2	To know the significance and uses of ratio analysis

SPECIFIC OUTCOMES

MODULE I

1.1.0. Know the basic concept of finance

- 1.1.1. Explain the traditional concepts of finance
- 1.1.2. Explain the modern concept of finance
- 1.1.3. Explain the functions and goals of financial management
- 1.1.4. Explain the importance of finance management

1.2.0. Know the meaning of financial planning and control

- 1.2.1. State the meaning of financial planning
- 1.4.2. List the components of financial plan
- 1.3.3. Deduce the advantages and limitations of financial plan

MODULE II

- 2.1.1. State the meaning of fund or finance

- 2.1.2 State advantages and disadvantages of sources of fund
- 2.1.3. State the meaning of the term financing
- 2.1.4. Describe the role of various financial institutions in meeting the financial requirements of industries like ICICI - functions, I.F.C.,- functions and objectives, S.F.C.S. – functions, I.D.B.I. - functions , SIDBI- functions.

MODULE III

3.1.0. Understand capitalization

- 3.1.1. State the meaning and need for capitalization
- 3.1.2. Explain over capitalization
- 3.1.3.Explain under capitalisation
- 3.1.4. Compare under capitalization with over capitalization
- 3.1.5. State the theories of capitalization
- 3.1.6. Explain watered capital
- 3.1.7. State the causes and effects of watered capital
- 3.1.8. Define capital structure
- 3.1.9. Explain the factors affecting capital structure
- 3.1.10. Explain capital gearing
- 3.1.11. Explain trading on equity

3.2.0. Understand capital investment decisions

- 3.2.1. State the importance of capital investment decisions
- 3.2.2. State the factors affecting capital investment decisions
- 3.2.3. Explain payback period
- 3.2.4. State the advantages and disadvantages of payback period

3.3.0 Working capital

- 3.3.1. State the meaning & importance of working capital
- 3.3.2. Explain the concepts of gross working capital & net working capital
- 3.3.3. List the components of working capital
- 3.3.4. Explain inventory management
- 3.3.5 State the meaning of inventory turnover ratio
- 3.3.6. State the significance of E.O.Q & ABC analysis

MODULE IV

4.1.0. Understand the techniques of financial analysis

- 4.1.1. Explain the meaning of financial analysis
- 4.1.2. State the objects of financial analysis
- 4.1.3. State the meaning and significance of ratio analysis
- 4.1.4 State the uses and limitations of ratio analysis
- 4.1.4. Explain types of ratio
- 4.1.5 Explain leverage ratio
- 4.1.6 Explain activity ratio
- 4.1.7 Explain current ratio.
- 4.1.8 Explain quick ratio.

4.1.9 Work out the liquidity, solvency, ratio from the published balance sheet of manufacturing company

CONTENT DETAILS

MODULE – I : Definition of finance – traditional concept of finance – modern concept of Finance - scope of finance – finance management and its functions – goal of finance management – importance –. Meaning of financial planning – – significance of financial plan – – financial control

MODULE -II : Meaning of finance - – institutional finance – financial institutions like ICICI - ., I.F.C.,- S.F.C.S. - , I.D.B.I., - SIDBI and their functions

MODULE – III : Capitalization – meaning & need for capitalization – over capitalization and under capitalization – theories of capitalization – cost theory –earning theory meaning of watered capital – capital structure – factors affecting capital structure- capital gearing – trading on equity.. Management of working capital – concepts – components of working capital

MODULE – IV: Techniques of financial analysis – – ratio analysis – meaning significance – types of ratios – liquidity ratios – solvency ratios –

BOOKS RECOMMENDED

1. James C. Van, Financial Management & policy, Pearson
2. I.M.Pandey, Financial Management, Vikas Books